

VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 5.5
	DOCUMENT NAME DISPOSAL OF GOVERNMENT PROPERTIES	REVISION NO. 0
		EFFECTIVITY DATE FEBRUARY 1, 2020
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1.0 OBJECTIVES

- 1.1 To establish a systematic way to dispose unusable, obsolete, outdated, or valueless government properties such as supplies, materials and equipment that are unserviceable, no longer needed, unnecessary due to change in Agency's functions/mandate, in excess of requirements, or have become dangerous and hazardous to use.
- 1.2 To reduce total inventory costs by reducing carrying costs associated with storing valueless government properties and supplies.
- 1.3 To relieve accountable officers of unnecessary accountability.
- 1.4 To free up storage space for other properties and supplies.

2.0 SCOPE

This procedure covers all types of government assets that are subject for disposal, and outlines the following relevant steps: (a) identifying the reason for disposal and modes of disposal; (b) inspecting and appraising the item(s) for disposal; and (c) documenting the process of disposal.

3.0 POLICIES

- 3.1 Disposal of government properties shall be done in accordance with prevailing and applicable laws, circulars and issuances of the government.
- 3.2 Disposal shall be understood as the end of life of a government property.
- 3.3 The full and sole authority and responsibility for the divestment or disposal of properties and other assets owned by National, Corporate and Local Government Units including its subsidiaries shall be lodged in the heads of the departments, bureaus and offices or governing bodies or managing heads of the concerned entities.
- 3.4 The Disposal Committee shall be composed based on the government issuances.
- 3.5 When government property has become unserviceable for any cause or is no longer needed, it shall, upon application of the officer accountable therefore, be inspected by the head of the agency or his duly authorized



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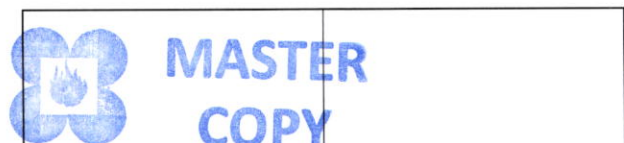
representative and if found to be valueless, it may be sold at public auction to the highest bidder under the supervision of the proper committee on award or similar body. In the event that public auction fails, the property may be sold at a private sale at such prices as may be fixed by the same committee or body concerned.

- 3.6 Disposal Committee shall conduct inspection to observe the physical condition of the property to be disposed. An ocular inspection is usually done to have a first-hand observation of the conditions of the property. After the inspection, appraisal of the properties to be disposed shall commenced to attain more realistic valuations of property under disposal based on the actual state or condition of properties being disposed of and to provide a reliable basis of ensuring that government recovers a fair return from the disposal of its properties.
- 3.7 Disposal Committee shall recommend to the Executive Director/Campus Director the mode of disposal as appropriate and deemed most advantageous to the government. Modes of Disposal thru Condemnation/Destruction, Transfer, Barter, Donation and Sale.

4.0 PROCEDURES

4.1 General Guidelines on Disposal of Government Properties

Responsibility	Activity
Accountable Personnel	1. Prepares the List of Supplies, Semi-Expendable Equipment and Equipment for Disposal assigned to him/her and forwards to Division Chief for review and recommendation
Supply and Property Officer/	2. Prepares the detailed list of unserviceable property based on the IIRUP and WMR
Property Custodian	3. Fills up the data on date acquired, particulars of property, property number, quantity and remarks 4. If property is equipment, attaches the Equipment Ledger Cards, Equipment Checklists and pictures and forwards to Finance and Administration Division (FAD) Chief



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FAD Chief

5. Receives the IIRUIP, WMR and supporting documents

6. Reviews and evaluates the submitted documents as to completeness

7. If incomplete, returns to Property Custodian

FAD Chief

8. If complete, forwards to Accountant

Accountant

9. Provides the following data on the IIRUP, unit cost, total cost, accumulated depreciation, accumulated impairment losses and carrying amount and forwards to Executive Director/Campus Director

Executive Director/
Campus Director

10. Receives the IIRUP, WMR and supporting documents from Accountant

11. Approves the IIRUP for the request of inspection and disposition and forwards to Disposal Committee

Disposal Committee

12. Receives the IIRUP and WMR and supporting documents from Executive Director/Campus Director

13. Conducts the inspection and appraisal of unserviceable property based on COA prescribed guidelines and makes Appraisal Report

14. Prepares Disposal Program including the disposal methods to be employed and schedule of bidding and forwards the same together with IIRUP, WMR, Equipment Ledger Card, Equipment Checklist and pictures to Executive Director/Campus Director for Approval

Executive Director/
Campus Director

15. Receives and approves the Disposal Program and schedule of bidding activities and forwards documents to BAC on Disposal

Disposal Committee/
BAC on Disposal

16. Forwards the same set of documents to Commission on Audit (COA) for information and notification on the disposal activities at least



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twenty (20) days before the advertisement of the call to public auction. The COA with the assistance of Technical Service Office (COA-TSO) will conduct review of the submitted documents, inspection and appraisal of unserviceable properties and prepares Appraisal Review Report

17. Upon receipt of the COA Appraisal Review Report, forwards the document to the Disposal Committee. If no report is received from COA within the prescribed period, the schedule of the bidding will commence

18. Receives the copy of the COA Appraisal Review Report (if available), approved Disposal Program, IIRUP, Individual Survey Report, List of missing spare parts, stencils of chassis and engine numbers of motor vehicles, current photographs, Equipment Ledger Cards, Equipment Checklists, and Waste Material Report

4.2 Sale Thru Public Bidding

Responsibility	Activity
Disposal Committee/ BAC on Disposal	1. Advertises by printed notice for not less than three (3) consecutive days in any newspaper or by notices posted in at least three (3) prominent public places in the locality 2. Sends invitation to COA Auditor at least five (5) calendar days before the scheduled opening of bids 3. Allows the bidders to inspect the unserviceable properties within the prescribed period as indicated in the advertisement 4. Receives the sealed bids from interested bidders 5. Conducts evaluation of bids on the scheduled bid opening and evaluate the submitted documents if in compliance of the minimum requirements set by the



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BAC to include the Bidder's bond which is equivalent to at least 10% of the minimum bid amount, latest Financial Statements and Income Tax Return (ITR)

6. Recommends conduct of second bidding if failure of bidding occurs due to no bidder qualifies or no bids received on the closing date and undertakes the bidding process again from the start of the publication
7. Prepares BAC Resolution recommending award to the highest bidder for approval of the Executive Director/Campus Director
- Executive Director/
Campus Director 8. Receives the BAC Resolution recommending award and approves it
9. Forwards the document to BAC for preparation of Notice of Award and Contract of Sale
- Disposal Committee/
BAC on Disposal 10. Receives the approved BAC Resolution and prepares the Notice of Award and Contract of Sale
11. Forwards to the Executive Director/Campus Director for approval
- Executive Director/
Campus Director 12. Receives the Notice of award and Contract of Sale
13. After verifying the correctness, approves the Notice of Award and issues to the winning bidder
- Property Custodian 14. Receives the Notice of Award and Contract of Sale together with the other supporting documents
- Cashier 15. Receives the payment of the sold property by the winning buyer and issues the Official Receipt
- Supply and Property
Officer/Property
Custodian 16. Issues the withdrawn property to the buyer upon presentation of Official Receipt issued by the Cashier. The withdrawn properties shall be released in the presence of the Disposal Committee.
17. Prepares and accomplishes a tally-out sheet as evidence of actual delivery



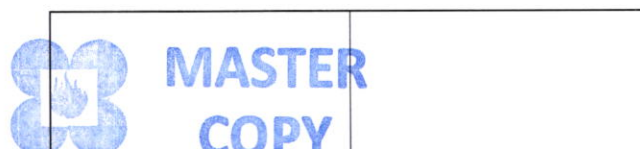
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| Disposal Committee/
BAC on Disposal/
Executive Director/
Campus Director | 18. Sign the tally-out sheet witnessing the release of the property and by the buyer acknowledging the receipt of the items purchased |
| Supply and Property
Officer/Property
Custodian | 19. Accomplishes the pertinent portions of the IIRUP or WMR and forwards to Accounting Unit together with the other documents supporting the sale. This will be the basis for dropping the property from the books of accounts and taking up the proceeds from the sale of the property. |
| Accounting Unit | 20. Prepares Journal Entry Voucher to drop the assets from the books of accounts. Updates the Plant, Property and Equipment Ledger Cards to record the sale of assets |
| Property Custodian | 21. Updates the Property Cards (PC) to record the sale of assets |

4.3 Sale Thru Negotiated Sale

- | Responsibility | Activity |
|---|--|
| Disposal
Committee/BAC on
Disposal | 1. Prepares BAC Resolution recommending Negotiated Sale as mode of disposal after two failed bidding and forwards to Executive Director/Campus Director for approval |
| Executive Director/
Campus Director | 2. Receives and approves the BAC Resolution
3. Returns to the BAC for the conduct of negotiated sale |
| Disposal
Committee/ BAC on
Disposal | 4. Invites qualified bidders to submit sealed bid proposals
5. Opens and evaluates the submitted bids
6. Compares if the negotiated price is not lower than the highest offer submitted at the failed public bidding |



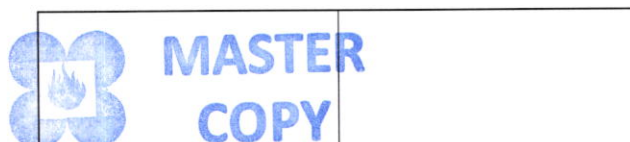
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- Executive Director/
Campus Director
7. Prepares a BAC Resolution recommending an award to the negotiated bidder and forwards to the Executive Director/Campus Director for approval
 8. Receives and approves the BAC Resolution recommending award
 9. Returns to BAC for the preparation of Notice of Award and Deed of Sale
 10. Receives the Notice of award and Deed of Sale.
 11. After verifying the correctness, approves the Notice of Award and issues to the negotiated bidder

Refer to 4.2 Procedure on Sale thru Public Bidding procedures 14-21 for the next procedures.

4.4 Transfer of Government Properties

Responsibility	Activity
Executive Director/ Campus Director	1. Receives requests from the private or public government agency and forwards the request to the Property Custodian
Supply and Property Officer/ Property Custodian	2. Receives the request and checks if the property requested is no longer needed 3. If found to be no longer needed, cancels all the Property Acknowledgement Receipts (PAR) covering the transferred properties so that the end user shall be relieved for his/her accountability over the property 4. Takes out from the individual employee's folder the corresponding PAR/s and forwards the cancelled PAR/s to the end-user/s 5. Prepares the Property Transfer Report (PTR) and forwards the PTR to the Campus Director
Executive Director/ Campus Director	6. Receives and approves PTR



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Secretary of
Executive Director/
Campus Director

7. If the property to be transferred is a computer, ensures that the data contained therein are removed by the authorized technician upon approval by the Executive Director/Campus Director and attaches the Certification on computer data and program removal to the PTR

Supply and Property
Officer/Property
Custodian

8. Releases the transferred equipment to authorized official of the recipient agency

9. Ensures the appropriate receipt of the items by the receiving entity by signing the PTR

10. Prepares two (2) copies of all documents (e.g. PTR and computer data and program removal certificate, if applicable) and provides one (1) copy to the receiving agency/entity

11. Forwards the copies of the PTR and other supporting documents to Accounting Unit for dropping in the books of the transferred property

Accounting Unit

12. Prepares Journal Entry Voucher to drop the assets from the books of accounts

13. Updates the Plant, Property and Equipment Ledger Cards to record the transfer of assets

Supply and Property
Officer/ Property
Custodian

14. Updates the Property Cards (PC) to record the transfer of assets

5.0 LIST OF FORMS AND REPORTS

5.1 Forms

None

5.2 Reports

None

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